

Law of Equity and Trusts (EQT1)

Module 3: Nature and Creation of Trusts

Lesson 3: Formalities, Capacity and Constitution

Lesson Notes

KMVTECHUG

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Formalities

Some trusts require formalities. Trusts of land generally need writing because of statutory formality rules and the Registration of Titles Act Cap 240 context. Testamentary trusts must comply with will formalities under the Succession Act Cap 268.

Failure to observe formalities can make an express trust unenforceable, though resulting and constructive trusts may still arise by operation of law.

Capacity

The settlor must have capacity to dispose of the property. Trustees should have capacity to hold property and to perform duties. Minors and persons lacking mental capacity face restrictions. Corporate trustees are common in commercial settings.

Constitution

A trust is completely constituted when the trust property is effectively vested in the trustee. Equity will not assist a volunteer: if the settlor has not done everything necessary to transfer the property, an incomplete gift generally fails (*Milroy v Lord*). Exceptions exist (for example, the rule in *Strong v Bird* in some jurisdictions).

Key idea: Intention alone is not enough. Property must be properly vested in the trustee (or the settlor must declare themselves trustee of property they already hold).

Key Takeaways

- Land trusts and wills have special formality requirements (Caps 240 and 268).
- Capacity of settlor and trustee matters.
- Complete constitution requires effective vesting in the trustee.
- Equity will not perfect an imperfect gift for a volunteer.

Quick Revision Checklist

- ☐ I can state when writing is required for a trust of land.
- ☐ I understand constitution and *Milroy v Lord*.
- ☐ I can explain why incomplete transfers often fail.
- ☐ I know resulting/constructive trusts do not need the same formalities.